

M/S Om Food Manufacturing Center v. State of U.P. & 2 Others

High Court of Judicature at Allahabad · Division Bench · 6 May 2026 · Writ - C No. 12303 of 2026 · **Writ allowed; licensee to present a proper mistake-calculation for payment; recovery only by civil suit, not disconnection.**

HEADNOTE

Where a commercial consumer has paid the bills issued after a load enhancement and the licensee later raises a large supplementary demand alleging its own billing mistake, Section 56 of the Electricity Act, 2003 as declared in Rahamatullah Khan permits an additional demand on discovery of a bona fide mistake but bars coercive disconnection. The licensee must present the discovery and a particularised calculation (with rebate) for payment within the prescribed time; on non-payment it must sue. It cannot progressively increase the demand after it is made. Prem Cottex does not overrule Rahamatullah Khan. A 23 April 2026 interlocutory stay (Clause 6.5 relegation not applied) is overtaken by this AFR disposal.

FACTUAL SUMMARY

M/S Om Food Manufacturing Center held a commercial connection. Load was enhanced to 140 kV on 14 July 2023 and consumption bills were thereafter paid. After about two years the supply company issued notice of a 'mistake' in applying the rate, demanding Rs. 54,14,196.88 (1 July 2025), later increased to Rs. 62,03,152 (24 October 2025), with a disconnection threat and no theft allegation. On 23 April 2026 the Division Bench stayed the demand and required the licensee to show the provision authorising a demand on already-discharged bills; Clause 6.5 maintainability was raised and not decided. On 6 May 2026 the licensee relied on Rahamatullah Khan and Prem Cottex.

HOLDING-UNITS

HOLDING-UNIT · EA2003::56

supplementary demand after paid bills — no disconnection, no upward revision, civil recovery only

HOLDING

A subsequent demand on discovery of a billing mistake can be made under Section 56 as declared in Rahamatullah Khan, but there cannot be recovery to the distress of the consumer. Section 56(1) provides 15 days' written notice including disconnection; sub-section (2) is limitation; Rahamatullah Khan says coercive action cannot be taken, so the licensee must obtain a civil remedy for the principal (and may claim interest in that action). There cannot be upward revision of the demand after it is made. Notices that allege discovery of a mistake without stating a bona fide error, without opportunity to test correctness, and without particulars of charge and rebate, are deficient. The supply company is directed to present the discovery of mistake and a proper calculation with applicable rebate for payment within the prescribed time; on non-payment it must sue. Prem Cottex distinguished Rahamatullah Khan on facts and did not overrule it. Writ allowed and disposed of. ¶ 4-7

FLAG The bound source PDF also contains the 23 April 2026 interlocutory order (demand stayed; listed 6 May 2026). Clause 6.5 was invoked as a maintainability bar on 23 April and was not applied or decided on 6 May.

PRINCIPLE TAGS

licensee-demand-on-paid-bills-requires-shown-provision After due discharge of bills, a later demand on alleged licensee mistake is confined to Section 56 as read in Rahamatullah Khan: additional demand may be raised, disconnection may not, and the demand cannot be progressively increased. The licensee must particularise the mistake and calculation, then sue if unpaid. Lead authorities: *Assistant Engineer, Ajmer Vidyut Vitran Nigam Ltd. v. Rahamatullah Khan alias Rahamjulla* [SCJ-009]. ¶ 4-6

NOT DECIDED — WHETHER THE WRIT WAS NOT MAINTAINABLE BECAUSE A BILL DISPUTE MUST BE RAISED UNDER CLAUSE 6.5

¶ 2-4

NOT DECIDED — WHETHER THE ALLEGED MISTAKE WAS BONA FIDE, AND THE CORRECTNESS OF THE RS. 54 LAKH / RS. 62 LAKH FIGURES

¶ 4-5

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Assistant Engineer, Ajmer Vidyut Vitran Nigam Ltd. v. Rahamatullah Khan alias Rahamjulla</i> (2020) 4 SCC 650 [SCJ-009] Supreme Court	Section 56(2) does not preclude a supplementary demand after two years in case of mistake, but it does not empower disconnection to recover that demand.		Court	Applied
<i>M/s Prem Cottex v. Uttar Haryana Bijli Vitran Nigam Ltd.</i> (2021) 20 SCC 200 Supreme Court	Rahamatullah Khan was distinguished on facts; the licensee was still prevented from disconnecting and left to other remedies.		Respondent	Referred